

Multiple Choice (10 marks)

1. For the perfectly competitive firm, the profit-maximizing decision to shut down is made when the price
 - (a) falls below minimum average total cost.
 - (b) is greater than minimum average variable cost, but lower than minimum average total cost.
 - (c) falls below minimum average variable cost.
 - (d) is equal to minimum average total cost.
2. An increase in the price level and a decrease in real GDP in the short run could be the result of
 - (a) a prolonged period of very bad weather.
 - (b) a decrease in the money supply.
 - (c) a decrease in consumer confidence.
 - (d) an increase in consumer confidence.
3. Which of the following is an example of capital as an economic resource?
 - (a) A cement mixer
 - (b) A barrel of crude oil
 - (c) A registered nurse
 - (d) A share of corporate stock
4. A balance of trade surplus can be the result of
 - (a) a loose monetary policy.
 - (b) foreigners having no taste for this country's products.
 - (c) an appreciation of the country's currency.
 - (d) low levels of income relative to other nations.
5. Depreciation of the dollar is most likely to
 - (a) increase imports
 - (b) increase travel abroad
 - (c) increase exports
 - (d) decrease a trade surplus

True / False (10 marks)

Answer True or False

6. True or False: When the cross-price elasticity of demand is negative, the goods are considered complements.
7. True or False: Producers expecting a higher future price for good A will lead to a decrease in equilibrium price and an increase in equilibrium quantity.
8. True or False: Contractionary monetary policy can lead to falling Treasury bond prices due to higher interest rates.
9. True or False: If demand for exports increases while preferences for foreign goods decrease, the value of the dollar will likely depreciate.
10. True or False: GDP measures a country's level of production and income, reflecting its economic activity.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how an increase in demand for the goods produced by labor can impact the equilibrium market wage in a competitive labor market. Analyze the mechanisms involved in this relationship.
12. Discuss the concept of transfer earnings in economics, providing an example and analyzing how it applies to a cashier earning a standard wage in a competitive job market.

End of Paper